

		Plaintiff is given leave to file an amended complaint within 15-days of written notice of the ruling. <i>Defendant to give notice.</i>
9.	Shin v. Semapo Blockchain Institute, Inc. 23-1368524	The unopposed Demurrer by Defendants Semapo Blockchain Institute, Inc. and Kenneth H. An. To the Complaint filed by Plaintiff Keum Sook Shin is SUSTAINED with 14 days leave to amend. The role of a demurrer is "to test the legal sufficiency of a complaint." (<i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal.App.4th 968, 994, citations omitted.) In ruling on the demurrer, the court "treats the demurrer as admitting all material facts properly pleaded." "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (<i>Quelimane Co., Inc. v. Stewart Title Guar. Co.</i> (1998) 19 Cal.4th 26, 38.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-1405.) <i>Negligent Misrepresentation (2nd cause of action) and Fraud (3rd cause of action)</i> The elements of a fraud cause of action are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citation.]" (<i>Small v. Fritz Companies, Inc.</i> (2003) 30 Cal.4th 167, 173, internal quotation marks omitted.) The elements of a negligent misrepresentation cause of action are the same as the ones for fraud except for the requirement of scienter. (<i>Bains v. Moores</i> (2009) 172 Cal.App.4th 445, 454.) "Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." (<i>Stansfield v. Starkey</i> (1990) 220 Cal. App. 3d 59, 73.) This "strict requirement" of pleading "necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" <i>Id.</i> "The requirement of specificity in a fraud action against a corporation requires the plaintiff to

allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 157.)

While plaintiff alleges that she was falsely told that her balance was \$180,000 when it was only \$20,000, she does not allege when this misrepresentation was made or who made the misrepresentation. (Complaint ¶¶28, 37) Plaintiff also does not allege what action she took in reliance on the alleged misrepresentation.

Accordingly, the demurrer is **SUSTAINED** as to the Negligent Misrepresentation and Fraud causes of action.

Conversion (4th cause of action)

The elements of a conversion claim are: (1) plaintiff owned, possessed, or had a right to possess personal property; (2) defendant intentionally took possession of the property for a significant period of time, prevented plaintiff from having access to the property for a significant period of time, or destroyed the property; (3) plaintiff did not consent; (4) causation; (5) damages. (CACI 2100; *Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.)

While the defendants' conduct of taking out a loan is alleged to have been improper, the plaintiff has not pled the facts to establish conversion. Plaintiff does not sufficiently identify what property she owned that the defendant took from her. All that is alleged is that loans were taken out using the plaintiff's crypto as collateral. Plaintiff does not allege how the taking out of a loan using the crypto as collateral prevented plaintiff from having access to the crypto, or that she even tried to gain access to the crypto. Further, plaintiff fails to allege how she suffered damages as a result of the loan.

Accordingly, the demurrer is **SUSTAINED** as to the Conversion cause of action.

Fraudulent Conveyance (5th cause of action)

Under the Uniform Fraudulent Transfer Act (*Cal. Civ. Code § 3439 et seq.*), a fraudulent conveyance is a transfer of an asset or interest by the debtor to a third person

undertaken with the intent to prevent a creditor from reaching the transferred interest to satisfy its claim. (*Yaesu Electronics Corp. v. Tamura* (1994) 28 Cal.App.4th 8, 13.) A transfer is fraudulent, both as to present and future creditors, when it is made “[w]ith actual intent to hinder, delay, or defraud any creditor of the debtor.” Even absent actual fraudulent intent, a transfer may be deemed fraudulent if the debtor did not receive “a reasonably equivalent value in exchange for the transfer.” (*Mejia v. Reed* (2003) 31 Cal.4th 657, 664; see also *Cal. Civ. Code*, §§ 3439.04, 3439.05.)

Here, plaintiff has failed to allege sufficient facts to establish a fraudulent conveyance. For example, there is no allegation of a transfer by the debtor to a third party to prevent a creditor from reaching the transferred interest to satisfy a debt.

Accordingly, the demurrer to the Fraudulent Conveyance cause of action is **SUSTAINED**.

Unjust Enrichment (6th cause of action)

Defendant asserts that unjust enrichment is not a separate cause of action but is instead general principle. However, on a demurrer, the test is whether the complaint states any valid claim entitling plaintiff to relief, even if plaintiff’s cause of action is improperly titled, or an improper remedy is stated. (*Quelimane Co., Inc. v. Stewart Title Guar. Co.* (1998) 19 Cal.4th 26, 38 [“If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.”].) Thus, although Plaintiff cannot bring an unjust enrichment cause of action, the cause of action will be sufficient on demurrer if the complaint establishes a cause of action for restitution.

Nonetheless, plaintiff has failed to plead a cause of action for Restitution. (See *CACI* 375) For example, there are no details pled as to the loan(s) that were purportedly taken out such as from whom or when. The plaintiff has therefore failed to plead that money which was rightfully plaintiff’s was “received from” a third party by the defendants. Also, there are no facts pled as to who took out which loans as plaintiff only alleges that all defendants took out the loans. (Complaint ¶62)

Accordingly, the demurrer to the Unjust Enrichment cause of action is **SUSTAINED**.

		The Demurrer is sustained with 14 days leave to amend. However, leave to amend is granted only as to the specific causes of action to which the Demurrer was sustained. Leave to amend is NOT granted to alter/amend other portions of the complaint or to add/amend other causes of action. If plaintiff seeks leave to amend, such must be done pursuant to <i>CCP §473</i> and the appropriate rules. <i>Counsel for the defendants is ordered to give notice of this ruling.</i>
10.	Farkas v. Smith 23-1324888	Plaintiffs/Cross-Defendants Joel Farkas ("Farkas"), Gateway American Resources, LLC ("Gateway"), and Kings Co. LLC ("Kings" individually; "Plaintiffs" all together), and cross-defendant and Latitude Accounting LLC's ("Latitude" individually; "CD" together with Plaintiffs) Demurrer to defendant/cross-complainant Jennifer Blair Smith's ("Defendant") Second Amended Cross-Complaint ("SAXC") is SUSTAINED. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (<i>Del E. Webb Corporation v. Structural Materials Co.</i> (1981) 123 Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (<i>Day v. Sharp</i> (1975) 50 Cal.3d 904, 914; <i>Sosinsky v. Grant</i> (1992) 6 Cal.App.4th 1746, 1749.) "In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations omitted.]" (<i>Daar v. Yellow Cab Co.</i> (1967) 67 Cal.2d 666, 672.) Defendant demurs to all three causes of action ("COA") on the bases that they fail to state sufficient facts to constitute a COA (<i>Civ. Proc. Code § 430.10(e)</i>).